Working with GL that has no Closing Entry:

Practical problem that you may face when preparing financial statements for a company in a business intelligence software like Power BI or any other business intelligence software.

→ And this problem is related to the closing entry for the net profit. So first let me explain you what this closing entry is for the net profit?

So basically, when we prepare our profit and loss statement, whatever the net profit is for the period, it is transferred to the balance sheet in the retained earnings section.

→ **T**his net profit goes to the retained earnings part in the owner's equity. And of course, this is logical because net profit belongs to the owners of the business. So it is it must be added to the owner's equity part. And it is done in the retained earnings line.

→ Right now, my net profit and retained earnings are different amounts. But please do not worry about that because retained earnings here is basically opening retained earnings plus this net profit minus any dividends paid. And that becomes to this retained earnings. So these two values are not the same.

→ Let's talk about the key concept here. And that concept is that net profit is transferred to the retained earnings in the balance sheet. Now, at the general ledger level, this is done by preparing a closing entry at the end of each period, which is usually the month-end.

→ Now, if we talk about the very basics where the accounting is being done, let us say without a computer program, in that case, you will have to post this entry manually at the end of each month.

→ But practically, you know, accounting is being done in accounting software or ERP systems. In those cases, how this accounting entry is done.

→ There are three possible scenarios.

Scenario one: The accountant manually posts this entry in the general ledger at the end of each month.

And scenario two is quite similar. The only difference is accountant doesn't have to do it, but when they close, their period system automatically posts this entry into the general ledger.

Let us talk **about scenario three**.

In scenario three, this entry is never posted to the general ledger. The net profit is never transferred to the retained earnings in the GL. But when the reports are prepared, this command is given at that level. That net profit should also be taken from here and reported to

the retained earnings part of the balance sheet. So while you will always see your reports being done correctly in the accounting system or ERP system, there will never be this closing entry posted in the background into the general ledger.

→ And this is actually important for us because, you know, we have extracted the general ledger and all those reporting logics that are applied at the report level in the accounting system. We are not aware of that. So we have to handle that scenario ourself.

→ GL jis mein hamne abhi tak kaam kiya hai, is mein Closing entry hai. Tou hmny inhy delete krna ha. Delete krny kaliye hm COA -> Retained Earnings me ja k dekhy gy Account key, which is 200. Back to GL and filter down this data by key 200. Tou ab hmary past "Transfer of Net profit to Retained Earnings." A jaye gi.
→ IMP: Retained earning kaliye sirf ye aik entry hty lkn jb hm GL me psot krty tou ye 2 entries hti ha. Hmy dosri b delete krni. Usklaiye hm Account key se filter remove kr k. Details p filter lgaye gy -> "Transfer of Net profit to Retained Earnings." Ab dono a gye tou hmny delete krni.
→ Ab hm agr COA me dekhy sb se last line Adjusting ki, wo Ye closing entries kaliye thi tou hm usy b delete kr skty, agr nhi krty tou koi problem nhi.
→ New data -> "FinData_Without_Closing_entry.xlsx"

UP and Running in Power bi:

Data ko import kr k Data modeling set krni. Tables view me ja k Select Calendar Table -> Mark as Date table -> By Date.
COA Me Class, Subclass, Subclass2 ki sorting by Column krni.
Hm amount ka ka column b drag kr skty Lkn best practice ye rhni k measure bnaye.
Amount_FTP = SUM(tbl_GL[Amount])
Done with P&L

Balance Sheet Calculations:

→ Min, Max, MinDateAcross calculate kr k Amouny_TTD find krni.
→ P&L ka page duplicate k filter me BalanceSheet select krna. Aur TTD drag krna values me.
→ Sb same ha previous TTD k . BUT Retained Earnings k section me sirf "Dividends paid" show ho rha tou values me TTD k drop down p ja k show items with no data select krna aur ab hmy show ho rha k Retained Earnings b but with blank values.

→ This is a problem that our retained Earnings values are not showing here. So Phly hm retained Earnings ki values calculate kry gy then find way to bring values in Balance Sheet.
→ Let me first calculate the value that should be coming here, which is profit.
→ If I filter down all my_data where the report level is profit and loss statement, it will bring in

all the sales and all the expenses, and it will net them off to calculate the profit, net profit.

Profit_FTP = CALCULATE([Amount_FTP], tbl_COA[Report] = "Profit and Loss")

→ Ye net profit ki value BS me jaye gi but ye wha show nhi ho gi. In easy way ye FTP profit ha , Balance kaliye TTD calculate krna

Profit_TTD = CALCULATE([Profit_FTP], DATESBETWEEN(tbl_Calendar[Date], [MinDateAccross], [MaxDate]))

→ Ab ye value jb hm balance sheet me drag kry gy tou Ye sb se last me TOTAL me aye gi. But hm chahty k ye Retained Earnings ki line me aye, tou iskaliye hmy power bi ko btana ho ga k ye value kaha add krni.
RetainedEarningsLine = IF(SELECTEDVALUE(tbl_COA[Account]) = "Retained Earnings", [Profit_TTD], BLANK())
↳Problem: Jb is value ko drag kry gy sb blank ho jana. Bcz hm ny matrix p filter lgaya huwa Balance sheet ka, lkn ye measure to P&L ki . tou hm is measure me "ALL" use krna ho ga.

RetainedEarningsLine = IF(SELECTEDVALUE(tbl_COA[Account]) = "Retained Earnings", CALCULATE([Profit_TTD], ALL(tbl_COA)), BLANK())

→ Complete Balance Sheet value:
BS_Value = [Amount_TTD] + [RetainedEarningsLine]

→ **Ye Retained Earnings ki value subtotal me add nhi ho rhi, Ye power bi ka btana hna:**
RetainedEarningsLineSubtotal = IF(SELECTEDVALUE(tbl_COA[Class]) = "Liabilities and Owners Equity" &&

NOT(

SELECTEDVALUE(tbl_COA[SubClass]) = "Liabilities" ||

SELECTEDVALUE(tbl_COA[SubClass2]) = "Share Capital" ||

SELECTEDVALUE(tbl_COA[SubClass2]) = "Share Premium" ||

SELECTEDVALUE(tbl_COA[Account]) = "Dividends paid"

),

CALCULATE([Profit_TTD], ALL(tbl_COA)), BLANK())

→ Hmny Liabilities and Owners Equity, Owners Equity and Retained Earnings me subtotal krna.
Tou condition iski k according ho gi.
Agr selected value "Liabilities and Owners Equity" ho AND
In me se value na ho (Liabilities, Share Capital, Share Premium, Dividends Paid)
Profit_TTD calculate kry, Ignoring all the filters on COA, leave other as Blank.

Class	2018	2019	2020
⊟ **Assets**			
⊟ **Assets**			
⊟ **Current Assets**			
Cash & Cash Equivalents			
Inventory			
Investments			
Other Current Assets			
Receivables			
⊟ **Non-Current Assets**			
Intangible Assets			
Property, Plant, & Equipment			
⊟ **Liabilities and Owners Equity**	**623856**	**1927003**	**3216948**
⊟ **Liabilities**			
⊞ **Current Liabilities**			
⊞ **Long Term Liabilities**			
⊟ **Owners Equity**	**623856**	**1927003**	**3216948**
⊟ **Share Capital**			
Share Capital			
⊟ **Share Premium**			
Share Premium			
⊟ **Retained Earnings**	**623856**	**1927003**	**3216948**
Dividends paid			
Retained Earnings	623856	1927003	3216948
Total			

BS_Value2 = [Amount_TTD] + [RetainedEarningsLineSubtotal]

Class	2018	20	2
Assets	**3,875,802**	**9,238,096**	**12,320,001**
Assets	**3,875,802**	**9,238,096**	**12,320,001**
Current Assets	**3,023,806**	**7,056,506**	**8,405,635**
Cash & Cash Equivalents	2,107,691	5,111,014	4,510,732
Inventory	105,834	522,363	1,326,242
Investments	258,667	642,667	1,314,667
Receivables	551,614	780,462	1,253,994
Non-Current Assets	**851,996**	**2,181,590**	**3,914,366**
Intangible Assets	75,992	152,786	237,146
Property, Plant, & Equipment	776,004	2,028,804	3,677,220
Liabilities and Owners Equity	**3,875,802**	**9,238,096**	**12,320,001**
Liabilities	**844,946**	**1,427,893**	**1,971,645**
Current Liabilities	**584,946**	**860,393**	**1,040,448**
Long Term Liabilities	**260,000**	**567,500**	**931,197**
Owners Equity	**3,030,856**	**7,810,203**	**10,348,356**
Share Capital	**2,666,667**	**6,462,667**	**8,105,867**
Share Capital	2,666,667	6,462,667	8,105,867
Retained Earnings	**364,189**	**1,347,536**	**2,242,489**
Dividends paid	-259,667	-579,467	-974,459
Retained Earnings	623,856	1,927,003	3,216,948
Total	**7,127,748**	**16,549,189**	**21,423,054**